

Granite Heron's Rule 50(b) and Rule 59 Motion

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United States District Court for the Western District of North Carolina Blue Ember Biologics, LLC v. Granite Heron Logistics, Inc. Civil Action No. SYN-WDNC-24-CV-0520

Granite Heron timely moves under Rule 50(b) for judgment as a matter of law on the amount of mitigation and, alternatively, under Rule 59 for a new trial on gross damages and mitigation. The mitigation JMOL request is asserted expressly for the first time after the verdict. The October 10 and October 14 Rule 50(a) motions stated causation only and left failure to mitigate for the jury.

The carrier contends the new request is nevertheless a permissible renewal because avoidable delay narrows the caused loss challenged before submission. Blue Ember disputes that characterization and argues that mitigation is a distinct affirmative defense never placed in either pre-verdict motion. The Court must decide preservation before reaching Rule 50 judgment.

If the Rule 50(b) request is available, Granite Heron seeks a 1.5-million-dollar net deduction and an amended award of 2.7 million dollars. Independently, it argues that the jury's 300,000-dollar deduction is against the clear weight of the evidence and warrants a damages-only retrial.

Relationship to the pre-verdict motions

Rule 50(b) permits a party to renew a properly made pre-verdict request. Granite Heron acknowledges that its written motions used the phrase “causation only,” disclaimed a request for judgment on mitigation, and stated that the Cobalt Finch questions remained for the jury. Those limitations are part of the actual trial record.

The carrier argues that its causation challenge addressed which delay losses were legally attributable to the excursion. In its view, proof that Blue Ember could have avoided part of that delay refines the same causal amount rather than introduces an unrelated claim. It also points to trial argument and the separate verdict question as notice that the defense disputed post-event loss.

Granite Heron does not contend that a general reservation can create a ground never specified. It instead asks the Court to treat caused delay and avoidable delay as sufficiently continuous for renewal. The motion preserves that legal position while identifying the contrary language candidly. The Rule 59 request does not depend on acceptance of this Rule 50 theory.

Cobalt Finch evidence and burden

Granite Heron bore the burden to prove unreasonable failure to mitigate and the amount of reduction. It relies on the October 2 offer, genuine suite hold through October 4 at 17:00, Cobalt Finch's relevant capability, the defined accelerated calendar, and Dr. Nia Calder's testimony. Another sponsor's later booking confirms the capacity was real.

The carrier acknowledges unfinished BE-214 qualification, a compressed decision period, possible cancellation charges, and no guaranteed outcome. It argues those facts concern manageable risk rather than legal insufficiency. Acceptance would have begun staged diligence on October 7, followed by a focused assessment, transfer work, engineering confirmation, and a November 22 readiness gate before the December 2 campaign.

Dr. Elodie Park concluded that a reasonable development organization would have reserved and pursued the opportunity. Granite Heron contends no reasonable jury could limit the net deduction to 300,000 dollars when the identified schedule benefit substantially exceeded the alternative's incremental cost.

Requested mitigation arithmetic

Park calculated 1.8 million dollars of gross delay avoided by a successful accelerated path. She began with Brooks's two-million-dollar bounded delay model, mapped Cobalt Finch through testing and review, and left 200,000 dollars of disruption in place. Her approach did not assume that all delay disappeared on December 2.

Cobalt Finch's preliminary estimate assigned 300,000 dollars to incremental transfer, focused qualification, adaptation, training, engineering confirmation, and accelerated capacity. The estimate excluded ordinary replacement manufacturing. Granite Heron subtracts that cost once from gross avoidance, producing a 1.5-million-dollar net mitigation reduction.

Applied to the jury's 4.2-million-dollar gross finding, the requested deduction yields 2.7 million dollars. The calculation does not reduce the 1.35-million-dollar original-lot component or the 850,000-dollar replacement subtotal. It leaves 500,000 dollars of the two-million-dollar delay category in the result. Granite Heron requests amendment of the judgment to that figure if Rule 50 relief is procedurally available.

Alternative request under Rule 59

Whether or not Rule 50(b) reaches mitigation, Granite Heron moves for a new trial under Rule 59. The carrier argues that the 300,000-dollar net deduction is against the clear weight of the capacity, qualification, schedule, and cost evidence. A new-trial ruling permits the Court to weigh evidence without treating the Rule 50 preservation question as dispositive.

Granite Heron points to the held December suite, absence of a known fatal incompatibility, defined transfer tasks, staged cancellation exposure, and approximately three-month manufacturing-start advantage. It contends the jury's figure effectively attributed too little gross benefit to that record after accounting for the 300,000-dollar cost.

The motion also challenges the gross-damages findings as excessive in light of retained assay activity, contested replacement classifications, and uncertainty in the development forecast. Those arguments were tried and do not depend on mitigation preservation. The carrier asks the Court to assess whether the combined financial verdict reflects the clear weight of the evidence or would cause a miscarriage of justice.

Why the jury's deduction is challenged

The verdict form requested a net deduction. A 300,000-dollar answer could reflect 600,000 dollars of gross avoidance less the estimated alternative cost, or another supported combination producing the same net figure. Granite Heron argues that no reasonable assessment of the proposed calendar limits gross schedule benefit to that neighborhood.

Calder characterized the course as feasible with elevated risk, not speculative or facially unavailable. The facility had suitable general capability, and Cobalt Finch proposed safeguards rather than removal of required controls. Park's sensitivities continued to show positive net benefit even when gross avoidance was materially reduced.

Blue Ember emphasized incomplete program approval and the absence of a numerical success probability. Granite Heron answers that operations decisions routinely proceed through staged gates without a guaranteed percentage. For Rule 59 purposes, the carrier asks the Court to weigh the entire proof and conclude that the jury assigned insufficient effect to the earlier opportunity. This argument requests a new trial even if judgment cannot be entered as a matter of law.

Scope of a requested retrial

Granite Heron asks that any new trial be limited to gross damages and mitigation. The special verdict resolved contract formation, material breach, and causation separately before the monetary questions. The carrier does not seek to retry whether the Fletcher transition occurred or whether the excursion crossed the specified band.

The financial evidence can be presented without relitigating operational liability. A new jury can receive the settled causal premise, evaluate original-lot and replacement amounts, assess the bounded delay model, and decide the Cobalt Finch reduction. The itemized form prevents uncertainty about what the first jury resolved.

Granite Heron contends this scope is distinct and separable and would avoid injustice, compromise, or jury confusion. It does not request a mitigation-only proceeding because gross delay supplies the ceiling against which avoidance is measured and because its Rule 59 challenge also reaches gross categories. Blue Ember may oppose any retrial and may argue that the existing findings deserve repose.

Conditional ruling if JMOL is granted

If the Court grants renewed judgment, Rule 50(c) requires a conditional ruling on the new-trial request. Granite Heron asks the Court to state whether a damages retrial would be warranted if the JMOL amendment is later vacated or reversed. The conditional decision should identify its evidentiary reasons and proposed scope.

The carrier requests a finding that the 300,000-dollar mitigation answer is against the clear weight of the evidence and that gross damages and mitigation should be retried together. That ruling would not become operative while the amended judgment remains affirmed. It would govern the consequence if Rule 50 judgment ceases to control, unless an appellate court orders otherwise.

Granite Heron does not ask a conditional ruling to cure an unavailable Rule 50 ground. The two requests have different standards and procedural effects. The Court may reject JMOL yet grant a new trial, grant JMOL and conditionally grant a new trial, or deny both after resolving preservation and weight separately.

Timeliness, relief, and reservation

The original judgment was entered October 15, 2025. This November 10 motion falls within twenty-eight days. Granite Heron asks the Court first to rule on whether mitigation was preserved for Rule 50(b), then, if it reaches the merits, to replace the jury's 300,000-dollar deduction with 1.5 million dollars and amend the judgment from 3.9 million dollars to 2.7 million dollars.

In the alternative, the carrier asks for a new trial confined to gross damages and mitigation. If JMOL is granted, it requests the required conditional Rule 59 ruling on that same limited scope. The Rule 59 ground is timely and independent of whether the earlier causation-only motions preserved mitigation for judgment.

Granite Heron continues to dispute gross causation and contract limits to the extent properly maintained, but it does not ask those reservations to rewrite the October Rule 50(a) language. The motion is based solely on the actual district-court record and asserts no alternate pre-verdict filing or assumed procedural event.